

213-215 HALSTEAD AVENUE — REVISED DEAL ECONOMICS

New Purchase Price \$1,000,000 | Ponce Bank \$690K Loan (No Phase I Required) | 75-Day Close | New Nonrefundable \$60,000

Prepared for David A. Goldoff | May 21, 2026

Negotiated Changes vs. Prior Terms

- Purchase price reduced from \$1,060,000 to \$1,000,000 (\$60K / 5.66% discount).
- Closing window extended from 60 days to 75 days.
- Additional \$60,000 deposit due — NEW NONREFUNDABLE. The existing \$106,000 deposit remains REFUNDABLE per the standard contract terms.
- Lender transitioning from TFCU to Ponce Bank (Mark Marneris). Same \$690K loan but at 69% LTV on the lower basis vs. 65% LTV before.
- Ponce structure: 6.50% fixed 5-yr / 30-yr fully amortizing / 5-yr step-down prepay (waived on internal refi) / 1-yr seasoning.
- Phase I Environmental NOT required by Ponce — saves \$3,500 of closing costs and eliminates a 30-day timing risk.

Sources & Uses

	Amount
SOURCES	
Ponce Bank Loan (6.5% / 30-yr fully am)	\$690,000
Borrower Equity (David A. Goldoff)	\$310,000
TOTAL SOURCES	\$1,000,000
USES	
Purchase Price	\$1,000,000
Estimated Closing Costs	\$27,900
TOTAL USES	\$1,027,900
Additional Cash Required at Closing (above equity)	\$27,900

Estimated Closing Costs

Item	Amount
Appraisal (Ponce-ordered)	\$2,500
Phase I Environmental — NOT REQUIRED by Ponce	\$0
Title Insurance (~0.6%)	\$6,000
Survey	\$3,500
Legal — David F. Fair, Esq.	\$7,500
Recording Fees	\$1,500

Loan Origination (~1%)	\$6,900
TOTAL	\$27,900

Equity Deployment & Nonrefundable Risk

Payment	Amount	Refund Status
Existing Deposit (already paid)	\$106,000	REFUNDABLE per contract
New Additional Deposit (per revised offer)	\$60,000	NONREFUNDABLE upon acceptance
NEW MONEY AT RISK	\$60,000	Only the additional deposit
Remaining Equity at Closing	\$144,000	From cash + bank statements
Plus Closing Costs at Closing	\$27,900	Additional cash above equity
Total Cash Required at Closing	\$171,900	
TOTAL CASH INVESTED (Day 1)	\$337,900	\$310K equity + \$27.9K closing

New money at risk: \$60,000. The existing \$106K deposit is refundable per the original contract terms if the deal does not close for permitted reasons. Only the new \$60K additional deposit becomes nonrefundable upon acceptance. With Ponce term sheet in hand, no Phase I required, and 75-day window for full underwriting, financing risk is substantially de-risked.

Coverage Analysis — Conservative David Numbers

Metric	Year 1 (Cal 2026 Weighted)	Stabilized (Yr 2+)
Gross Effective Rent	\$90,160	\$92,640
Total Operating Expenses	\$24,912	\$24,912
Net Operating Income (NOI)	\$65,248	\$67,728
Annual Debt Service (Ponce \$690K / 6.5%)	\$52,259	\$52,259
Cash Flow After Debt Service	\$12,989	\$15,469
DSCR	1.25×	1.30×
Going-In Cap (Rent ÷ PP)	9.02%	9.26%
NOI Cap (NOI ÷ PP)	6.52%	6.77%

Mark Marneris (Ponce) using a lighter OpEx stack underwrote NOI at ~\$80K and DSCR ~1.53×. Same loan amount, higher coverage from his side.

Cash-on-Cash Returns

	Year 1	Stabilized
Cash Flow After Debt	\$12,989	\$15,469
÷ Total Cash Invested (\$337,900)		
= Cash-on-Cash Return	3.84%	4.58%

5-Year Hold — Total Return Scenarios

Assumes: rent escalates 3.5%/yr, OpEx flat, loan amortizes on schedule, 5% transaction cost on exit.

Annual CF	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5	Cumulative
CF After Debt	\$12,989	\$15,469	\$18,711	\$22,067	\$25,541	\$94,777

Loan amortizes from \$690,000 → \$645,916 over 5 years (principal paydown \$44,084).

Exit Scenario	Exit Value	Net Proceeds	Total Return	Multiple	Approx IRR
No appreciation (0%/yr)	\$1,000,000	\$304,084	\$60,961	1.18×	3.4%
Modest (3%/yr)	\$1,159,274	\$455,395	\$212,272	1.63×	10.2%
Strong (6%/yr)	\$1,338,226	\$625,399	\$382,276	2.13×	16.4%

Upside not captured above: approved entitlements (residential overlay / rooftop addition per EnviroSpace feasibility) lift appraised value materially and support refi-out at Year 1 seasoning. Ponce confirmed they will underwrite to a new appraisal.

Ponce Refinance Path — Confirmed Terms

- Future refi based on appraisal increase: YES — Ponce will underwrite to new value.
- Prepayment penalty if refi internally with Ponce: NONE. PP applies only if refi to another lender (5-yr step-down).
- Seasoning required: 1 year before refi or additional advance.
- Internal refi = new application, new origination, new appraisal, new closing costs.
- Approved plans/permits get value in future appraisal IF reflected in current income; otherwise underwrites current income only.

Decision Framework

Three things to align on before accepting the counter:

- 1. Risk tolerance on \$60,000 additional nonrefundable. Existing \$106K deposit remains refundable. New money at risk is only \$60K. With Ponce term sheet in hand, no Phase I required, and 75-day window, financing risk is substantially de-risked.
- 2. Comfort with 3.84% Year 1 cash-on-cash on \$337.9K invested. Below typical Penn South threshold but reflects NNN risk profile and substantial principal amortization over the hold.

- 3. Confidence in entitlement upside path. 3%/yr base case = $1.63\times$ / 10.2% IRR with NO value engineering. Any approved rooftop/overlay adds upside.

Bottom line: the math works at \$1M with Ponce. Structurally sound deal, well-located, Michelin-recognized owner-operator tenant, equity multiple 1.6-2.1 $\times$ over five years in normal scenarios. No Phase I requirement removes both cost and timing risk. The \$60K additional nonrefundable is a contained, manageable new risk — the existing \$106K deposit is not at incremental risk.

— Camelot OS / Arthur Skill